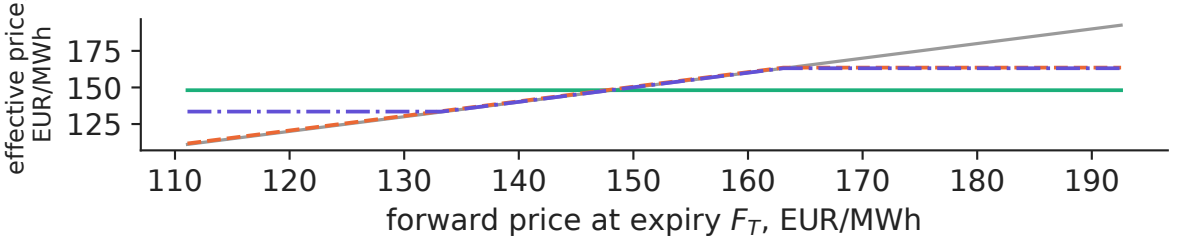
effective price
EUR/MWh
175
150
125
110
120
130
140
150
160
170
180
190
forward price at expiry F_T, EUR/MWh
unhedged: pay the market
forward at F
cap K = 1.1 F (call bought)
collar 0.9 F - 1.1 F